Session 12: Impairment of Assets I: Recognition, CGUs and Goodwill (IAS36)

By the end of this session you must know the definition of impairment loss and how recoverable amount is determined, when a company must test for impairment, how cash-generating units (CGUs) work when an individual asset's recoverable amount cannot be determined, how goodwill and corporate assets are tested, the order in which an impairment loss is allocated across a CGU's assets, and the rules for reversing a previously recognised impairment loss.

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1. Objective, Scope and the Core Definition

Objective of IAS36 (par 1): to require an entity to test its assets for impairment, ensuring that assets are not carried above (overstated relative to) the amounts recoverable through their use or sale.

- IAS36 applies to tangible and intangible fixed assets regardless of the accounting treatment chosen (cost or revaluation model), and also to investments in subsidiaries, associates and joint ventures as defined by IFRS10, IAS28 and IFRS11.
- It does not apply to assets already covered by a dedicated impairment/measurement standard of their own, such as financial assets or investment property.

Impairment loss (par 10): the amount by which the carrying amount (net book value, NBV) of an asset or CGU exceeds its recoverable amount. If NBV > recoverable amount, the difference is an impairment loss. If NBV ≤ recoverable amount, no impairment is recorded.

Recoverable amount: the greater of (A) fair value less costs to sell, and (B) value in use.

Fair value: the price that would be received to sell an asset in an orderly transaction between market participants at the measurement date.

Value in use: the present value of the future cash flows expected to be derived from an asset.

2. When Must a Company Test for Impairment?

- A company must evaluate, at each reporting date, whether there are indicators of possible impairment. If such indicators exist, it must estimate the asset's recoverable amount.
- Regardless of whether any indicator exists, a company is required to carry out an annual impairment test on intangible assets with an indefinite useful life (including goodwill) and on assets not yet ready for use. This connects directly to Session 11's rule that indefinite-life intangibles and goodwill are never amortised but are always tested at least annually.

Must know (minimum indicators to consider):
• **External:** unexpected decline in the asset's market value. Significant adverse changes in the legal, technological, market or economic environment. A rise in market interest rates likely to affect the discount rate used in value-in-use calculations. The entity's book value of net assets exceeding its market capitalisation
• **Internal:** evidence of obsolescence or physical damage. Changes in how the asset is used or will be used (e.g. restructuring, planned disposal). Internal reporting evidence that the asset's economic performance is, or will be, worse than expected

- This list is explicitly not exhaustive for every type of company. It is a minimum checklist, not a closed list.

- If, and only if, the recoverable amount is lower than the carrying amount, the carrying amount is written down to the recoverable amount, and this reduction is the impairment loss.
- In general, an impairment loss is recognised immediately as an expense in profit or loss.
- The one exception carried over from the revaluation mechanics (Session 10): for a revalued asset, an impairment loss is first debited against any revaluation reserve balance previously recognised for that same asset (shown as a negative in OCI), and only any excess beyond that reserve balance is recognised as an expense in profit or loss.

3. Worked Example: Testing a Single Asset

Wilderness Ltd: an asset held at historical cost has a carrying amount of €100,000, a remaining useful life of 3 years, a residual value of €10,000, and is expected to generate net cash flows of €20,000 in each of years 1 and 2 and €30,000 in year 3 (i.e. €20,000 operating cash flow plus €10,000 from the eventual disposal at residual value), discounted at 10%. It could currently be sold for €50,000 with disposal costs of €2,000.

(a) Value in use: PV(Year1) = 20,000 × 0.909 = 18,180. PV(Year2) = 20,000 × 0.826 = 16,520. PV(Year3) = 30,000 × 0.751 = 22,530. Value in use = 18,180 + 16,520 + 22,530 = €57,230.
(b) Impairment test: fair value less costs to sell = 50,000 − 2,000 = €48,000. Recoverable amount = higher of €48,000 and €57,230 = €57,230. Since carrying amount (€100,000) > recoverable amount (€57,230), impairment loss = €100,000 − €57,230 = €42,770, recognised as an expense in the income statement. Carrying amount is reduced to €57,230.
(c) Post-impairment depreciation: new depreciable amount = 57,230 − 10,000 (residual value, unchanged) = €47,230. Annual depreciation = 47,230 ÷ 3 = €15,743.

4. Cash-Generating Units (CGUs)

Cash-generating unit (CGU, par 66 onward): the smallest identifiable group of assets that generates cash inflows largely independent of the cash inflows from other assets or groups of assets.

- When an individual asset’s recoverable amount cannot be estimated on its own, the entity must instead determine the recoverable amount of the CGU to which it belongs, and recognise an impairment loss if the CGU’s recoverable amount is below its carrying amount.
- Identifying a CGU inherently requires subjective judgement: relevant factors include how management monitors operations (by product line, business sector, location, region, etc.) and makes decisions.
- If there is an active market for the output of a business or group of businesses, that output defines a CGU, even if some or all of the output is used internally.
- CGU identification criteria must be applied consistently year to year, unless a change can be justified.

The CGU’s carrying amount must be determined on a basis consistent with how its recoverable amount is determined:

- It includes the carrying amount only of assets that can be directly attributed, or reasonably and consistently allocated, to the unit and that generate the future cash inflows used in estimating value in use.
- It excludes any recognised liability, unless the CGU’s recoverable amount cannot be determined without taking that liability into account.

Mining railway: a private railway supporting a mine’s operations could only be sold for scrap, and does not generate cash inflows largely independent of the mine’s other assets, so its recoverable amount cannot be determined on its own (its value in use is almost certainly above scrap value, but that value in use cannot be separately estimated). If there is any indication of impairment, the recoverable amount must instead be determined for the CGU to which the railway belongs, the mine as a whole.

5. Goodwill and Corporate Assets

Goodwill impairment testing (par 80 onward): goodwill does not generate independent cash flows and typically contributes to multiple CGUs, so its recoverable amount cannot be determined as if it were a single stand-alone asset. For testing purposes, goodwill is instead allocated to each CGU (or group of CGUs) expected to benefit from the synergies of the business combination that created it.

- Each CGU to which goodwill is allocated must represent the lowest level at which goodwill is monitored internally, and must not be larger than an operating segment (before aggregation) as defined by IFRS8.

- Goodwill-allocated CGUs undergo impairment testing annually (at a consistent time each year) and whenever an impairment indicator arises. The test compares the CGU's carrying amount with its recoverable amount (no impairment if recoverable > carrying, impairment recognised if carrying > recoverable).
- Crucially, the CGU's own individual assets must be tested for impairment *before* goodwill is tested.

Corporate assets (par 102): assets such as headquarters buildings or IT systems that serve auxiliary or shared activities and do not generate independent cash inflows on their own.

- When testing a CGU, any corporate assets that can be reasonably attributed to it must be included in the assessment.
- If corporate assets cannot be reasonably allocated to a single CGU, that CGU is first tested without them, and then the smallest group of CGUs to which the corporate assets *can* be reasonably allocated is tested to assess any further impairment.

6. Allocating an Impairment Loss Across a CGU

Allocation order (par 104): when a CGU's recoverable amount is below its carrying amount, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the CGU. Only after goodwill is reduced to zero is any remaining loss allocated to the CGU's other assets, pro rata to each asset's carrying amount. No individual asset's carrying amount may be reduced below the highest of its own fair value less costs of disposal (if measurable) and its own value in use (if determinable).

CGU with no goodwill (AlphaCorp's Chinese division): carrying amounts are Buildings 500,000, Equipment 300,000, Machinery 250,000, Factory 150,000 (total CGU carrying amount 1,200,000). Value in use of the CGU is 1,188,000. Since 1,188,000 < 1,200,000, impairment loss = €12,000, allocated pro rata by carrying-amount proportion: Buildings 41.7% × 12,000 = 5,004 (new carrying amount 494,996). Equipment 25% × 12,000 = 3,000 (new carrying amount 297,000). Machinery 20.8% × 12,000 = 2,496 (new carrying amount 247,504). Factory 12.5% × 12,000 = 1,500 (new carrying amount 148,500).

CGU with goodwill: a CGU carries Goodwill 25, Patents and copyrights 50, PP&E 200 (total 275). Its recoverable amount is determined at 195. Total impairment loss = 275 − 195 = €80. Step 1: goodwill absorbs the loss first, reduced from 25 to 0, leaving €55 still to allocate. Step 2: the remaining €55 is allocated pro rata by carrying amount between Patents (50/250 = 20% × 55 = 11 → carrying amount 50 − 11 = 39) and PP&E (200/250 = 80% × 55 = 44 → carrying amount 200 − 44 = 156). Step 3: the floor test, PP&E's fair value less costs to sell is 160, which is €4 higher than its provisionally allocated carrying amount of 156, so PP&E cannot be written down that far. PP&E is reset to 160, and the €4 difference is instead pushed onto the Patents, which end up at 35 (39 − 4). Final result: Goodwill 0, Patents 35, PP&E 160, total 195, matching the CGU's recoverable amount exactly.

7. Reversing an Impairment Loss

Reversal (par 109): at each reporting date, the entity assesses whether a previously recognised impairment loss may no longer exist or may have decreased, using indicators that mirror those in Section 2 but in reverse (essentially the opposite of an impairment trigger). If such an indicator exists, the recoverable amount is re-estimated.

Must know (reversal mechanics):
• **Goodwill:** an impairment loss recognised for goodwill can **never** be reversed in a later period, under any circumstances
• **Ceiling:** the increased carrying amount after reversal must not exceed what the carrying amount would have been (net of the depreciation/amortisation that would have been charged) had no impairment ever been recognised
• **Where it is recognised:** immediately in profit or loss, **unless** the asset is carried at a revalued amount (e.g. under the IAS16/IAS38 revaluation models), in which case the reversal is treated as a revaluation under the relevant standard instead (i.e. it can flow through OCI to the revaluation reserve, following the same surplus logic as Sessions 10-11)

8. Common Mistakes and Exam Traps

- Reversing a previously recognised goodwill impairment loss. This is absolutely prohibited, regardless of how much the CGU's recoverable amount subsequently recovers.
- Allocating an impairment loss to a CGU's individual assets before reducing goodwill to zero first. Goodwill always absorbs the loss first, other assets only share in any excess.
- Writing an individual CGU asset down below its own fair value less costs to sell (when measurable) or its own value in use

(when determinable) during pro rata allocation. The floor test in the goodwill worked example exists precisely to catch this.

- Forgetting that indefinite-life intangibles and goodwill require an impairment test every year regardless of whether any indicator is present. For all other assets, testing is triggered only when an indicator exists.
- Applying the CGU-level recoverable-amount test when an individual asset's own recoverable amount actually can be estimated. The CGU approach is a fallback for when an asset's own cash inflows are not separable, not a universal default.

9. Must Know Absolutely

Must know:
• Impairment loss = carrying amount − recoverable amount, when carrying amount is higher
• Recoverable amount = higher of fair value less costs to sell, and value in use (PV of expected future cash flows)
• Indefinite-life intangibles, goodwill and not-yet-in-use assets: tested annually regardless of indicators. All other assets: tested only when an indicator is present
• CGU = smallest group generating largely independent cash inflows. Used when an asset's own recoverable amount cannot be estimated
• Goodwill allocated to CGUs expected to benefit from combination synergies. CGU's own assets tested before goodwill
• Allocation order within a CGU: goodwill first (to zero), then other assets pro rata by carrying amount, never below each asset's own fair-value-less-costs-to-sell or value-in-use floor
• Reversal: never for goodwill. Capped at pre-impairment carrying amount (net of notional depreciation). Through P&L normally, through OCI/reserve for revalued assets